Republic of the Philippines
DEPARTMENT OF LABOR AND EMPLOYMENT
Intramuros, Manila

LABOR ADVISORY NO. 16
Series of 2025

GUIDELINES ON THE PAYMENT OF THIRTEENTH-MONTH PAY

These guidelines are hereby issued pursuant to Article 5 of the Labor Code of the Philippines, as renumbered, and Presidential Decree No. 851, requiring employers in the private sector to pay their rank-and-file employees 13th month pay:

I. COVERAGE

The 13th month pay shall be paid to rank-and-file employees in the private sector regardless of their position, designation, or employment status, and irrespective of the method by which their wages are paid, provided that they have worked for at least one (1) month during the calendar year.

It shall also be given to rank-and-file employees who are paid on a piece-rate basis, fixed or guaranteed wage plus commission, those with multiple employers, those who resigned, were terminated from employment, or were on maternity leave and received salary differential.

II. AMOUNT OF 13TH MONTH PAY

The minimum 13th month pay shall not be less than one-twelfth (1/12) of the total basic salary earned by an employee within a calendar year.

The "basic salary" of an employee, for the purpose of computing the thirteenth-month pay, shall include all remunerations or earnings paid by his or her employer for services rendered. It does not include allowances and monetary benefits which are not considered or integrated as part of the regular or basic salary, such as the cash equivalent of unused vacation and sick leave credits, overtime, premium, night shift differential and holiday pay, and cost of living allowance. However, these salary-related benefits should be included as part of the basic salary in the computation of the thirteenth-month pay if these are treated as part of the employee's basic salary, through individual or collective agreement, company practice, or policy.

To illustrate:

$$\frac{\text{Total basic salary earned during the year}}{\text{12 months}} = \text{proportionate } 13^{\text{th}} \text{ month pay}$$

Employee A earned ₱209,774.20 as his basic salary in a calendar year. In this case, his proportionate 13th month pay shall be computed as follows:

January	no absence	₱ 18,127.92
February	no absence	₱ 18,127.92
March	no absence	₱ 18,127.92
April	no absence	₱ 18,127.92
May	no absence	₱ 18,127.92
June	5 days leave with pay	₱ 18,127.92
July	no absence	₱ 18,127.92
August	no absence	₱ 18,127.92
September	10 days leave w/o pay	₱ 11,120.00
October	no absence	₱ 18,127.92
November	1 day leave w/o pay	₱ 17,375.00
December	no absence	₱ 18,127.92
Total basic salary earned for the year		₱ 209,774.20

$$\frac{₱\ 209,774.20}{12\ \text{months}} = \textbf{₱17,481.18 is the proportionate 13th month pay}$$

The 13th month pay is ₱17,481.18, without prejudice to additional benefits granted under existing company practice or policy, employment contract, or collective bargaining agreement, if any.

III. PAYMENT FOR CERTAIN TYPES OF EMPLOYEES

Piece-rate workers are likewise entitled to the 13th month pay benefit pursuant to Presidential Decree No. 851. Piece-rate shall refer to the mode of payment whereby an employee is paid on the basis of his production, *i.e.* on the amount or quantity of work done rather than time employed.

For piece-rate workers, the basis for the payment will be the total earnings from the production or output during the year, divided by 12.

To illustrate:

$$\frac{\text{Total earnings during the year}}{12\ \text{months}} = \text{proportionate 13th month pay}$$

Employee B earned ₱120,000.00 for the total produced output from January to December 2025.

$$\frac{₱120,000.00}{12\ \text{months}} = \textbf{₱10,000.00 is the proportionate 13th month pay}$$

The 13th month pay is ₱10,000.00, without prejudice to additional benefits granted under existing company practice or policy, employment contract, or collective bargaining agreement, if any.

Employees who are paid a fixed or guaranteed wage plus commission are also entitled to the mandated 13th month pay, based on their total earnings during the calendar year. In *Boie-Takeda Chemicals, Inc. vs. De la Sernann*,[1] the Supreme Court ruled that commissions, while included in the generic term wage, are not part of "basic salary/wage" and therefore should not be included in computing the thirteenth month pay.

$$\frac{\text{Total fixed wage earned during the year}}{\text{12 months}} = \text{proportionate } 13^{\text{th}} \text{ month pay}$$

Employee C earned ₱216,782.12 as his fixed or guaranteed wage and ₱30,000.00 as his commission in a calendar year. In this case, his proportionate 13th month pay shall be computed as follows:

Month	Fixed Wage[2]	Commission
January	₱ 18,127.92	₱ 10,000.00
February	₱ 18,127.92	
March	₱ 18,127.92	
April	₱ 18,127.92	₱ 10,000.00
May	₱ 18,127.92	
June	₱ 18,127.92	
July	₱ 18,127.92	
August	₱ 18,127.92	₱ 10,000.00
September	₱ 18,127.92	
October	₱ 18,127.92	
November	₱ 17,375.00	
December	₱ 18,127.92	
Total earnings for the year	₱ 216,782.12	₱ 30,000.00

$$\frac{₱\ 216{,}782.12}{\text{12 months}} = \textbf{₱18,065.18 is the proportionate 13th month pay}$$

The 13th month pay is **₱18,065.18**, without prejudice to additional benefits granted under existing company practice or policy, employment contract, or collective bargaining agreement, if any.

IV. TIME OF PAYMENT

The 13th month pay shall be paid on or before 24 December 2025.

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[1] G.R. No. 92174 & G.R. No. 102552, 10 December 1993.

[2] The fixed or guaranteed wage should not be lower than the minimum wage rate prescribed by the Regional Tripartite and Productivity Boards.

V. NO EXEMPTION OR DEFERMENT

No request or application for exemption from payment of 13th month pay, or for deferment of its payment shall be accepted and allowed.

VI. REPORT OF COMPLIANCE

Employers shall make a report of their compliance through the DOLE Online Compliance Portal at https://reports.dole.gov.ph/ not later than 15 January 2026. The report shall conform substantially with the following:

1. Name of establishment;
2. Address;
3. Principal product or business;
4. Total employment;
5. Total number of workers benefitted;
6. Amount granted per employee;
7. Total amount of benefits granted; and
8. Name, position, and telephone number of the person giving information.

VII. ENFORCEMENT

Compliance with the 13th month pay shall be monitored by the appropriate DOLE Regional/Field/Provincial Office having jurisdiction over the workplace in accordance with Department Order No. 238, Series of 2023.

Be guided accordingly.

BIENVENIDO E. LAGUESMA
Secretary

15 November 2025

Department of Labor and Employment
Office of the Secretary
"063896"